INTRODUCTION

In this module, we complete the review of major fixed-income sectors by focusing on public sector issuers, including sovereign and non-sovereign governments, and how they differ from private sector issuers. Sovereign governments are distinguished by their right to tax within a jurisdiction, while non-sovereign, quasi-government, and supranational issuers may rely on local taxes, fee-based revenue, or other sources of repayment. Sovereign debt issuance is usually conducted through scheduled public auctions, with a different role for financial intermediaries than in private sector issuance. Sovereign debt securities are the most common benchmark securities used in pricing and valuation analyses for fixed-income instruments.

Learning Module Overview

- National or sovereign government issuers are distinguished by their legal authority to establish and maintain a country's public goods and services, as well as their ability to tax economic activity in their jurisdictions. Developed market sovereign issues are characterized by a strong, stable, well-diversified domestic economy, and emerging market sovereign issuers are usually characterized by higher growth but less stable and less well-diversified economies subject to greater fluctuations over the economic cycle.
- Sovereign debt issues include short-term securities (with maturities ranging from 1 to 12 months), medium- and long-term notes and bonds, and bonds that are guaranteed but not directly issued by the sovereign government.
- Issuance of sovereign debt usually takes the form of a public auction using standard procedures led by the national treasury or finance ministry, while corporate debt issuances are managed by investment bank underwriters on behalf of issuers. Sovereign governments designate a group of financial intermediaries as primary dealers that are required to participate in all auctions with competitive prices.
- Once a government debt auction is announced, prospective investors submit competitive or non-competitive bids. Once issued, sovereign debt is usually traded in a manner similar to private sector debt securities, primarily in OTC markets through financial intermediary broker/dealers.
- The level and type of non-sovereign government funding vary widely among countries, depending on whether specific goods and services are provided and financed at the national, regional, or local level.
- Agencies are quasi-government entities that issue debt in order to fund the government-sponsored provision of specific public goods or services based on sovereign or local law. Supranational organizations are created and supported by sovereign governments in pursuit of a common objective.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. Complete the sentence by selecting the correct words from the options given.

the (*level*/*composition*) of sovereign debt—that is, short term versus long term, as well as other features.

Hide Solution

Solution:

A nation's fiscal policy determines the *level* of sovereign debt through central government spending, and government debt management policies address the *composition* of sovereign debt—that is, short term versus long term, as well as other features.

2. The issuer ranks bids by prices, choosing bids from highest to lowest until the desired issuance amount is reached, for:

A. single-price auctions.
B. multiple-price auctions.
C. single-price and multiple-price auctions.

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Solution:

C is correct. For both a single-price and a multiple-price auction, the issuer ranks bids by prices, choosing bids from highest to lowest until the desired issuance amount is reached.

3. Compare the role of financial intermediaries when engaging with sovereign issuers versus corporate debt issuers.

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Solution:

Sovereign issuers engage with financial intermediaries, like corporate debt issuers, but in a different form. Sovereign governments designate a group of financial intermediaries as primary dealers that are required to participate in all auctions with competitive prices, often serve as the central bank's counterparty for open market operations, and facilitate the purchase and sale of government debt by foreign central banks and other indirect bidders. Corporate debt issuances, in contrast, are managed by investment bank underwriters on behalf of issuers.

4. The ability of _____ government issuers to access funding across maturities is affected by the predictability and stability of sources of repayment.

A. Sovereign
B. Non-sovereign
C. Both sovereign and non-sovereign

Hide Solution

Solution:

C is correct. Borrowing costs and access to financing for both sovereign and non-sovereign government issuers are affected by their credit quality.

5. Identify the following statement as true or false. Justify your answer.

Sovereign agencies, such as the Airport Authority of Hong Kong (AAHK) and the Government National Mortgage Association (Ginnie Mae), benefit from the full liquidity premium associated with sovereign debt.

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the full liquidity premium associated with sovereign debt.

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